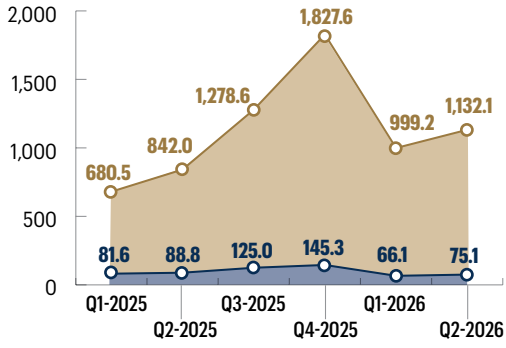
LESS GOLD, MORE MONEY

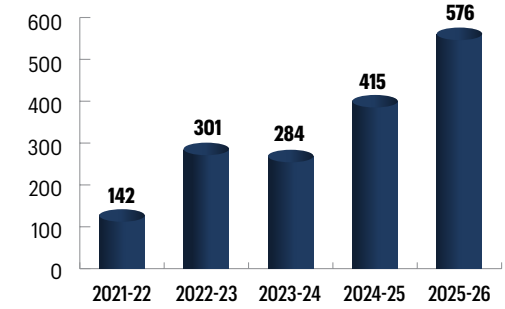
High gold prices mean reduced sales of jewellery



CALENDAR YEAR **SOURCE** WORLD GOLD COUNCIL

THE RICHIE RICH CLUB

Number of individuals with income more than ₹100 crore



ASSESSMENT YEAR **SOURCE**: MINISTRY OF FINANCE

the "first in his bloodline to own a Mercedes."

"This is representative of the younger generation," says Iyer, Managing Director and Chief Executive of Mercedes-Benz India. A generation ago, a buyer would have reached an E-Class last, after a long climb starting with a mass market car. Now, there is a new kind of buyer who starts with an E-Class, a GLE or an S-Class, which Mercedes calls its core segment, priced ₹60 lakh to ₹1.5 crore, or from its top end. Iyer credits the start-up economy, the creator economy and second-generation wealth. He says the demographic shift, followed by broader economic change, is driving premiumisation across categories and segments.

In 2025, Mercedes sold 19,007 cars in India, fewer than 19,500 the year before. Yet its revenue grew close to double digits, says Iyer. Demand for top-end models grew 11%, sales of its performance car brand AMG rose 34%, even as a 23% decline in sales of entry-segment cars weighed on growth.

Mercedes' closest rival had a better year in volumes. BMW Group India sold a record 18,001 cars in 2025, up 14%, buoyed by entry models. The X1, its smallest SUV, was its best-selling SUV, and the 3 Series its best-selling sedan.

Mercedes' India portfolio has three segments—entry cars such as the GLA and the new CLA, priced ₹50–60 lakh; core cars such as the E-Class and the GLE, priced between ₹60 lakh and ₹1.5 crore; and top-end cars, which include the S-Class, the G-Class and the Maybachs. The entry segment once made up about a quarter of the company's sales in India but now accounts for around 10%, while the share of top-end cars has risen from 15% to 25%. Within the G-Class range, the top variant used to account for 10% of sales; it's now at 20–30%. The top-end segment grew about 28% in the previous quarter alone.

The entry point itself has moved up. "Premiumisation doesn't just mean the top end," says Iyer. "You can see it clearly in the entry segment too." Mercedes no longer sells a car below ₹50 lakh in India, and the GLC, which was priced close to ₹60 lakh not long ago, now costs ₹78 lakh.

Iyer attributes the rise in the average selling price to three things. One is the shift towards more expensive cars. Another is equipment, since cars now carry far more technology, which he says accounts for 20–30% of the increase. The third is exchange rate. "In the last one year, car prices have risen 6–7% because of exchange rate volatility," he says. One euro was ₹89–90 when the company last set its prices. It is now around ₹110.

GOLD STANDARD

Nowhere are rising prices more visible than in gold. After what the World Gold Council calls "an exceptional rally through 2024, 2025 and early 2026", the domestic price averaged a record ₹1,51,108 for 10 grams in the January–March quarter, 81% higher than a year earlier, according to the